

GAIL — GAIL (India) Ltd

Sector: Energy | Sub-sector: Gas Distribution

Incorporated in 1984, GAIL, a Government of India undertaking, is an integrated natural gas company in India. It owns over 11,500 km of natural gas pipelines, over 2300 km of LPG pipelines, six LPG gas-processing units and a petrochemicals facility. It also has a joint-venture interest in Petronet LNG Ltd, Ratnagiri Gas and Power Pvt Ltd, and in the CGD business in several cities

ROE	ROCE	NPM	D/E	FCF (Cr)	Rev CAGR 5Y
12.9%	10.8%	7.4%	0.28	4,360	11.8%

10-Year Financial Trend

Year	Revenue	Profit	ROE	ROCE	FCF
2015-03	60,557	3,160	9.3	8.0	1,405
2016-03	52,053	1,874	5.1	6.7	3,056
2017-03	48,552	3,374	8.6	9.8	5,690
2018-03	54,496	4,805	11.5	13.8	6,109
2019-03	76,190	6,553	14.2	17.1	2,283
2020-03	72,518	9,515	19.3	12.4	46
2021-03	57,372	6,143	11.6	8.3	4,353
2022-03	92,770	12,304	19.2	17.4	3,930
2023-03	145,668	5,596	8.6	5.8	-4,248
2024-03	133,228	9,903	12.9	10.8	4,360

Financial health score: 36.7 | Band: Needs Attention

Balance Sheet & Cash Flow Intelligence

Recent Balance Sheet

Year	Equity	Debt	Assets	Liabilities
2021-03	53,182	7,873	81,030	81,030
2022-03	64,114	9,216	96,584	96,584
2023-03	64,927	17,816	107,805	107,805
2024-03	76,997	21,794	124,735	124,735
2024-09	83,809	19,632	128,989	128,989

Recent Cash Flow

Year	CFO	CFI	CFF	Net Cash
2020-03	8,345	-8,299	281	328
2021-03	8,993	-4,640	-3,471	882
2022-03	9,420	-5,490	-3,917	13
2023-03	3,205	-7,453	2,972	-1,276
2024-03	12,586	-8,226	-3,457	902

Capital allocation: Reinvestor / Returns

CFO quality score: 100 | CapEx intensity: 6.2% | FCF conversion: 30.5%

Pros

Positive free cash flow in the latest available year.; Operating cash flow exceeds reported profit, supporting earnings quality.; Interest coverage exceeds 5x.

Cons

Free cash flow is not positive across the latest three-year window.

